

	Annual Return	Annual Std Dev	Annual Sharpe	Maximum Drawdown	% Profit Months
S&P 500 Index	12.34	15.59	0.42	-50.95	62
Aggregate bond	7.99	5.58	0.46	-12.74	69
S&P 500 + aggregate bond*	11.01	11.45	0.47	-37.62	64
S&P 500 absolute momentum	14.38	12.23	0.69	-29.58	66

* 70% S&P 500 and 30% aggregate bond

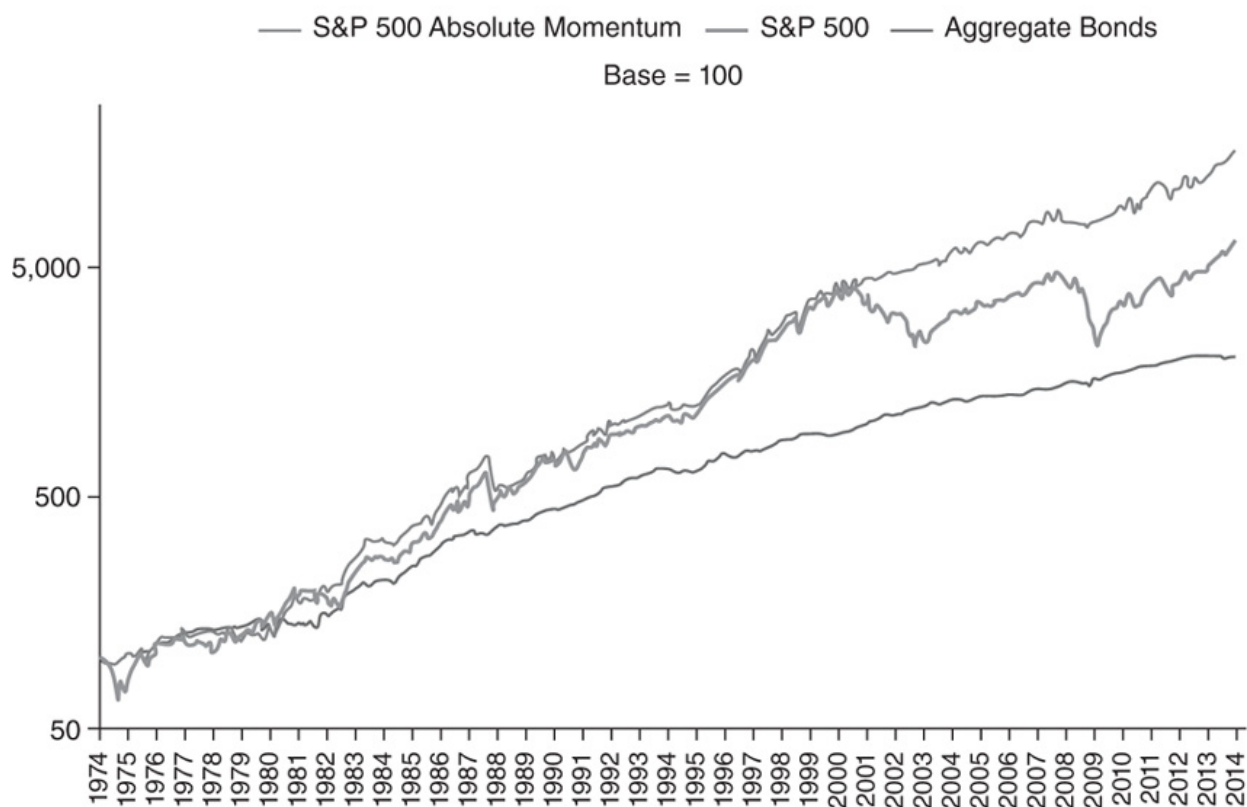


Figure 8.1 S&P 500 Absolute Momentum, 1974–2013

Because absolute momentum takes us out of the S&P 500 and into aggregate bonds 30% of the time, we also show the results of a passive benchmark portfolio that is always invested 70% in the S&P 500 and 30% in aggregate bonds.